

The Social Radars

S4: Alexandr Wang, Founder and CEO of Scale AI

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Jessica: I'm Jessica Livingston. AndCarolynn Levy and I are The Social Radars. In this podcast, we talk to some of the most successful founders in Silicon Valley about how they did it. Carolynn and I have been working together to help thousands of startups at Y Combinator for almost 20 years. Come be a fly on the wall as we talk to founders and learn their true stories.

Carolynn, I'm so excited because today we have Alexandr Wang, the founder and CEO of Scale, which provides high quality data to AI companies. YC funded him in its summer 2016 batch, and now is valued at \$13.8 billion and is used by many types of organizations, but certainly all the big model companies like OpenAI and Microsoft. Welcome Alexandr.

Alexandr: Yeah, thanks for having me. I'm super excited.

Jessica: I want to first ask you, I got to go back a little bit to your childhood. I need to preface this for our listeners. I actually don't know you very well, because you started NYC at the same batch that I moved to England, so I don't have a whole lot of history, so I'm going to find out a little bit of your history.

Alexandr: Yeah. So I grew up in Los Alamos, New Mexico, the birthplace of the atomic bomb. These days I ask folks if people have seen Oppenheimer, and that's usually how I'll explain where I'm from.

Jessica: That's how I described it to Carolynn. When she said, "Los Alamos, what's that famous for?" Yep.

Alexandr: Both my parents are physicists, and my dad's parents were also physicists. So I come from a long lineage of physicists. I recently talked to my parents and they said that the thing that made them most proud when I was growing up was how quickly I picked up physics. Los Alamos New Mexico has the highest number of PhDs per capita in the United States, I believe. So it's a very brainy place. Lots of very smart people, very scientifically-focused, and so I feel very lucky to have grown up in such a special place. I started programming in middle school, and that ended up sucking up all my attention. And I was very competitive as a kid. So I did a lot of math competitions, physics competitions, and computer science competitions. I would hang out with my friends at school during the day, and then I would go home and I would sort of chat with online friends all around the US who were sort of my competitive math and competitive computer science friends.

Jessica: And you did very well in these competitions, though. You did a bunch of them, right?

Alexandr: I did a bunch of them. Yeah. I was a nationally ranked mathlete. It was a lot of fun. So then through these math competitions, there were a bunch of tech companies that were willing to show us around their offices. So I toured Dropbox's office while still in high school, and I got sort of exposed to the tech industry ecosystem very early on. And so I took a gap year between high school and college to work as a software engineer. So I worked at Quora. The question and answer site, and then-

Jessica: Wait a second. Hold on, hold on. You graduated from high school, is that right?

Alexandr: Yeah.

Jessica: You were 17 though, right?

Alexandr: Yep, exactly. 17.

Jessica: Okay. So you took this gap year and your parents were okay with you moving to Silicon Valley, all by yourself?

Alexandr: Yeah. I explained it as a gap year where they were like, "Oh, yeah, okay, you'll just end up going to college a year later."

Jessica: Had you been accepted at MIT at this point?

Alexandr: Yes, I'd been accepted at MIT and then deferred enrollment for a year. Exactly.

Carolynnn: Well, did you move to Palo by yourself though?

Alexandr: I did, yeah. I moved to Mountain View originally and then I moved up to San Francisco. But yeah, I was 17 in the wild world of Mountain View.

Carolynnn: How did you live as a 17-year-old? I mean, can you even rent a car?

Alexandr: No car rental, yeah. No, thankfully there was Uber. Uber was a functional service. And then a lot of Caltrain. A lot of Caltrain,

Jessica: Okay. And you first worked for a company that Joe Lonsdale had started, right?

Alexandr: Yes. So I interned briefly at Addepar, and then I worked for the full year basically at Quora, and then I went off to college. So then I went to MIT for a year. That was a very special year, I think for me because I decided to just fully immerse myself into AI and machine learning, and a lot of big stuff happened this year. So this is when DeepMind came out with AlphaGo and beat the World champion at Go. This is when Google released TensorFlow and it finally became possible for developers in their dorm room to start playing with neural networks and deep learning and a lot of the original core technology that powers all of the AI revolution today.

And so I was sort of fully immersed into building with AI, training my own neural networks, doing my own programming, and I realized pretty quickly that all of AI or machine learning at the time, hinged on data. And data really was the raw material for intelligence. And that was kind of the key insight that ultimately led to starting Scale.

Carolynnn: And really quick to go back to your childhood, this is super random, but can you tell us about the spelling of your name?

Alexandr: Yes. So my name is missing an E. The last E in Alexandr is missing. I've asked my mom a bajillion times about it, so they like the name Alexandr, but then in Chinese culture, numbers are very important. So numerology, there's a lot of luck associated with certain numbers. And so Alexandr has eight letters. Eight is a very lucky number in Chinese, so the way it's spelled for my name has eight letters. So that was a big factor. And then there was something about the number of strokes too, being a good number. And so it was all around a good number, a lucky number. Yeah.

Carolynnn: Lucky and auspicious. Okay. Okay. I do have one other quick question, which is when you were at Quora, were you ever like, oh, I'm going to ditch this whole going to MIT thing because I love working, or I just want to be creating or building to screw this whole school thing?

Alexandr: The thought crossed my mind because at the end of my time at Quora, I had built out a prototype for a product and leadership was really excited about it. And so I was considering, "Oh, maybe I just stay at Quora and build this out." But then many of the executives at Quora told me, "You should go to college." Not because I was doing a bad job, I don't think, but mostly because they said, even Adam. I remember Adam at the time told me this actually probably was a big factor. He said, "I probably wouldn't go and do all four years of college, but I would do at least some college because it's really worth it."

Jessica: Yeah. Adam D'Angelo for our listeners, one of the founders of Quora. So you were basically like a child prodigy, but in two different dimensions, intellectually and in boldness. I mean for you to leave and move all by yourself to Silicon Valley is pretty bold. A lot of kids wouldn't do that, but here's why I'm confused. You were saying you understood the importance of data at MIT. I'm going to want to talk about your YC interview because do you remember? I was in the room, I was in that interview, you applied with a totally different idea that didn't really have that much to do with Scale. Can you tell us about that?

Alexandr: Totally. So in college, I think most people who apply to YC in college, you get together with your co-founders and you just make a big gold Google doc of startup ideas. And a lot of times they're all over the place. Truly, there were consumer ideas, there were B2B ideas, there were just API ideas. There was everything across the board. In that initial brainstorming, the idea for Scale was in that initial brainstorming, which is why I say, "Hey, the idea dates back all the way to the very, really came from my experience in college."

But then I remember at the time this was like, I don't know, this was spring of 2016. I remember the time thinking right before we applied to YC. It's like, "Okay, this data for AI thing, that's probably not a big enough idea, so we should figure out something else." And so that's why we ultimately applied with the doctor app because we were like, "Oh, doctors? Everyone needs a doctor. That's one of the biggest industries in the world." And so that's when we applied, NYC. I actually didn't fully remember that you were in the room, but as I'm remembering that 10, 15 minutes, it's very good.

Jessica: It's only 10. Well, I have to admit something to you, Alex. I have my interview notes. So I did vote yes, there were three of us in the room, and I did vote yes to accept you guys, but listen to what my notes said. It may be arrogant or brilliant, I think the former, but worth funding. I'm so embarrassed that I said-

Carolynnn: Savage.

Jessica: So bad. Oh, God. Just might be worth funding. I don't know. I feel like I had to admit that to you.

Alexandr: No. I always wonder, I've never asked the YC partners, but I'm so curious what the notes during YC looked like as well, because we were working on this doctor app for the first half of YC, and then we had a come to Jesus. I remember one office in particular with our YC group partners, we basically were like, they said, "You know, this whole doctor thing may or may not be the right idea, so you should probably take a moment to figure out what other other ideas you have." And at the time we were just like, "Oh gosh." And then we went back to the drawing board and then ultimately came up with Scale. But I'm really curious. I feel like for the YC partners, it must've just seemed totally lost, very chaotic.

Carolynnn: Yes. Wait, I'm just going to tell you, I just found a note and it says, "Seems lost on what their product market fit is." So you're exactly, you nailed it. Yeah.

Jessica: Brilliant. Not arrogant. Actually, it was some of the other comments, and I'm sure the partners won't mind me saying this, but it was kind of like high beta with this team. The team seems really good, but the idea is not so great, but worth funding. And that often happens with young founders. You are a group of young founders, so it's often hard to tell who the younger people are. So take me back to when you sort of realized that the idea wasn't working and that data labeling, you had said it, you knew it was a big problem, but what made you change your mind to pivot to this?

Alexandr: Yeah, there were a few things happening. So the first thing that happened is we talked to our YC group partners and we asked them, we're going on this doctor booking app, and we asked them, "How many appointments do you think we'll need to be able to raise at demo day?" And they said, "Oh, you'll probably need a thousand a week." And I think we realized at that moment, "Oh, that's going to be nearly impossible." We didn't really see a clear path to that because it was like pulling teeth, getting young people to book doctor's appointments. I mean, you don't want to be trying to convince young people to book doctor's appointments. That's not a winning proposition.

So that was kind of the moment of reality. And then the other thing that was happening at the same time was, this was summer of 2016, and a lot of people will remember this, but that was the first major chatbot craze, which is so funny in retrospect now that we're in this multi-year major chatbot craze. But that was right around when Magic, another YC company, was really hot. Meta, or Facebook at the time had their M bot, Facebook M, which was their virtual assistant product that they were working on. And there were a bunch of companies that were getting funded to work in messaging chatbots, that whole area. And so when we thought about it, this question of, oh, is it going to be a big enough market? It felt like if the chatbot industry was going to be big, it was going to be super reliant on data.

The funny thing is, now that I look back on this and I see the full arc, at the time we thought it would be the chatbot era that would be the key for data for AI, that was going to be the key driver. What ended up happening is this chatbot craze quickly died down, and then we ended up focusing on autonomous vehicles, and that was really the first major growth driver for the company. But then years and years later, chatbots ended up being, right now large language models and generative AI, which is mostly chatbots, has been a huge part of the company's story again. So it is kind of crazy to think about all in all.

Jessica: It started to be the person who just focuses on names, but I just realized the company was called Ava at first, and then you changed it to Scale during the batch. How did you decide that?

Alexandr: It started out by being called a chatbot. It's funny because tech is so cyclical. It's very common to have companies that are personified names because they're chatbots, like Claude, for example. So that was the idea. We thought we were going to have a chatbot. Then we ended up focusing in on data for AI. And the idea, so then the move to the scale, it wasn't that thoughtful at the time actually, because I remember one night I was just sort of searching for domains, and Scaleapi.com was available as a domain, and so we're like, "That sounds good, let's do it. That sounds great." And we just went with it. And then later on, the AI industry became all about scale, not us Scale necessarily, but all about growing the models. And so it was a really good name. Actually, years later, Peter Thiel told me he was like, "One of the reasons we invested is the name is just really good."

Jessica: Oh, nice.

Carolynnn: Really.

Jessica: That's some good validation.

Carolynnn: I'm so surprised by that.

Alexandr: It's very funny because it was not a super thoughtful decision at the time.

Jessica: Lucky.

Alexandr: It was just searching for domains.

Jessica: If you think back, if you had kept the name Ava, how would the trajectory of scale been different? Probably not.

Alexandr: I think it would've been different because I think the thoughts that are evoked by a company called Scale is really infrastructure, something you can build on top of. It really appeals to engineers and developers and researchers, and I think that that was really important. I mean, early on there were companies that relied on us who really had no business relying on a company as small as we were. But I think that the name sort of helped in sort of a subtle way to get developers on board. And we were very inspired by Stripe at the time, which I think has sort of a similar feeling in terms of a company name.

Carolynnn: Yeah, I think that's right.

Jessica: A similar sort of vibe with the Collison brothers.

Alexandr: And the other thing that ended up working out well was we knew that we wanted to start with data labeling and powering data for AI. But the great thing about the word scale is that it enables us over time to do so much more. And the vision always, always as an early founder, you always have these grand visions, which is first we're going to do data, then we're going to focus on implementation, and then we're going to do this and we're going to do testing, and you're going to sort of over time do everything. And Scale has been a blank canvas for us to be able to continue expanding to fulfill our vision.

Jessica: Did you do the data labeling yourself at first?

Alexandr: Yes. Yes, we did. Yeah, I remember. So our first customers were all YC customers. And who were they?

Carolynnn: Do you remember? Oh, Teespring, right?

Alexandr: Teespring. Teespring was an early customer, and I remember I had to stay up one night looking at all the different T-shirt designs and categorizing it into exactly what kind of design these T-shirts were. It was fascinating, by the way, to see all the different T-shirt designs that people used it for, but they were probably the first company of any meaningful size that really started using us, and that was before the batch and a huge part of us being able to raise during the batch. But it was all YC companies. And yeah, we started out just by doing the work ourselves and then slowly built out our operation.

Jessica: And were you just labeling images at that point?

Alexandr: It was mostly images. Yeah, it was mostly images. There were images and some text, although text labeling wasn't as big at that point. And then a few months after YC, it became very clear that we needed to focus on autonomous vehicles and self-driving. And then we ended up building out this entire product suite around all the complicated

sensor data that self-driving cars deal with. So LiDAR data and radar data and GPS and all of that stuff. It became very complicated very quickly.

Carolynnn: How did you guys do a demo day?

Alexandr: It was cool. We ended up, there was one white investor who actually was a former YC founder, Dan Levine from Excel, who reached out to us before Demo day, and we were kind of nervous because we knew our metrics were just okay. And so he offered to fund the company before Demo day, and I remember we had a conversation with our group partners and we were like, ah, what do we do? Should we wait for Demo day? And they said, "This is a great offer. Just do this and take a load off your backs."

Carolynnn: You guys still presented though, right?

Alexandr: We still presented, and yeah, we still presented and we focused on getting customers out of that, which we did manage to get a good handful.

Jessica: So this is going to reveal what a dummy I am about AI, so just forgive me, but at the time, would it be fair to say that this idea, preparing the data is kind of unsexy but exciting now. Did people back then realize just how exciting it was and that it's this huge standalone business?

Alexandr: It was always perceived as very unsexy. I remember for the first many years, investors always just felt like it was such, yeah, it was an unsexy, uninteresting space. And I think what it really required, I think to see what would've ultimately happened, you needed to be a big believer in AI. I think if you believed in artificial intelligence and neural networks and you believed in the technology just getting dramatically better, then Scale as an infrastructure provider and as a company laying down the foundations would naturally become an incredibly exciting company. And so this is what we really noticed in a lot of our early investors is there were people who believed in AI as a technology and believed that it was going to be extremely, extremely important. And for them it was quite natural and easy for them to invest. I shouldn't say easy. Investment is always tricky in the early stages, but it was easier versus those who were more skeptical. AI skeptics never invested in Scale.

Jessica: I've never asked this question, but now I'm curious. Do you remember the biggest no you got and just thinking you are not seeing this correctly?

Alexandr: Yes. I remember quite vividly there was one investor who, it was in one of these big group partner meetings, we were presenting to a full partnership, and in one of our early slides it said something along the lines of AI will depend on a growing amount of data or something along those lines. And there was an investor who corrected me on that slide and said, "Well, actually, we've talked to some experts and they think, actually maybe you don't need that much data." And I said, "I don't know what to say. I think that you can tell from the entire industry that everybody's extremely data hungry." And I think they dug their heels in on that point. And years later, that investor apologized to

me. Now that obviously we're in, in the generative AI world, it's clear that everybody is immensely data hungry and all the labs are trying to get as much data as possible.

Carolynnn: What year was that?

Alexandr: This must have been 2018.

Carolynnn: Okay, nice to get an apology. Seems rare.

Alexandr: Nice to get an apology. Yeah,

Jessica: That is rare. I'm glad. Well, they probably want to be in your next round.

Carolynnn: Exactly.

Jessica: Sorry, Carolyn and I are such cynics.

Carolynnn: Yeah, right?

Jessica: So you'd been doing stuff for Cruise, but then take me back to the time in 2022 when LLM'S became huge. Did you know that that would happen? I mean, I don't know if even Sam Altman saw just how big it would become. Take me back to what that felt like and what was going on in your mind.

Alexandr: Yeah, so there were two major arcs of the company before 2022. And 2022 was the start of, I think the most recent major arc. The first one was that we were working with all the self-driving companies, Cruise, Waymo, a lot of large automakers like Toyota, General Motors, et cetera, to fuel the autonomous vehicle wave. It's been really gratifying for us actually seeing the Waymo vehicles on the road and how excited everyone is about them because autonomous vehicles have gone through so many ups and downs as an industry, and it's really, I think it's very gratifying to see the industry come back strong now that the technology works really well. And then in 2020, we focused a lot of our efforts working with the US government, and working with the Department of Defense and working on using AI for national security. And it was actually relatively unpopular at the time.

Now defense tech is obviously a huge wave in and of itself, and I've been excited to see even YC invest into defense tech companies, which is awesome. But at the time, it was very clear that the US government needed better partners on AI, needed more partners on AI. This was around the time when Google had sort of made public statements about not working on various defense applications. And so starting in 2020, this was sort of the second major arc of the company, and was really focusing on the government and national security AI problems. In that first year, 2020, we closed our first major contract, a 90 million contract with the DOD and then continued building out the business over the next few years.

Jessica: Can I interrupt you? How old are you at this time? And you're closing a deal with the DOD, are you like 24 at this point?

Alexandr: 23, yeah. In 2020 I was 23. Yeah.

Carolynnn: It must just blow their mind when you walk into the conference room and they're like, "Wow, this kid, this is a kid." That's insane.

Alexandr: I wore a very dapper suit, I would say when I worked at the Pentagon, but we had really big believers and big champions, which is obviously key to everything in life. And so we've done, we've done great work with them. We're very proud of all the work we've done with the D.O.D.

Jessica: We've done some important work in Ukraine.

Alexandr: Yeah, exactly. So we helped build models, image recognition models that could detect damage in Ukraine and so on consistent satellite imagery, you can detect any place where there's damage or any kind of basically military activity. And that's been really critical for the DOD to coordinate their actions, but also for humanitarian organizations and aid efforts to know where to divert resources. And so we built that with the DOD, but also provided it to various nonprofits and humanitarian organizations as well.

Jessica: That's awesome.

Alexandr: Yeah. So then come 2022, we had been working on all these other major AI waves, so to speak, and when ChatGPT came out, I mean, I think we were focusing more and more on generative AI, but it really wasn't clear where it was all going to go. And over the next six months, so in the first half of 2023, the first six months of ChatGPT basically, we ended up shifting a huge amount of our internal resources to focus on supporting generative AI and focusing our business on being the data foundation for this entire technology wave. And so the numbers, roughly speaking, I think we were at the end of 2022, there was maybe something like 10 to 20 people working on generative AI data, and this was out of a whole company of about 700 people.

And over the course of the next maybe six to nine months, we ended up refocusing more than half of all of our headcount onto data for generative AI. So it ended up becoming the top focus for the company. And I think a lot of our success as a business is because of how quickly we moved. One of the things that I talked about this with Jared Friedman recently at the YC reunion, but one of my personal philosophies as the founder is "do too much". And in this case, it felt like this was such a seismic shift, and it was such a big jump that we very quickly realized, hey, if we're not overreacting, and we ended up shifting almost all of our focus on the company towards generative AI data.

Jessica: You have a blog and you wrote about this; *do too much*. There's a quote that I loved, I almost want to frame it and put it up at YC. You said, "I've never seen ordinary effort lead to extraordinary results."

Carolynnn: I just love that.

Jessica: That's a good one. That spoke to me.

Carolynnn: That's great.

Jessica: But you do a lot of writing. Do you write to help you figure things out?

Alexandr: Yeah, totally. I mean, I think as a leader, one of the things that I've struggled with or worked on as a leader is like, what's the best way for me to lead this organization? We have almost a thousand people now. It's a lot of people. And I found that writing was one of the best ways for me to do that, to actually sort of get my thoughts on paper and then help explain that to the whole team. And so writing, it started out as I think really a leadership tool as a way for me to help give context to the entire company. And then I started doing it more with investors, and then my investor said, "Wow, this is great." It was actually a combination of investors, and there was someone who joined the company who was like, "You should publish these so that we can help everybody understand what our culture is and what we stand for. And so we started publishing them out on the broader internet.

Jessica: This is a good segue, Alex. MEI, I got to ask about this because I'm so fascinated. Do you remember this, Carolynn?

Carolynnn: I do, yeah, yeah, yeah.

Jessica: Yeah. So for listeners, you posted about MEI, which stands for Merit Excellence and Intelligence. I'm going to do a little quote. There's a mistaken belief that meritocracy somehow conflicts with diversity. I strongly disagree. No group has a monopoly on excellence, and I loved that. That's great. But this was a bold move. Alex, tell us about why you did that and what was the response?

Alexandr: Yeah, so there were a few things happening at the time. I think the first one was really we were focusing on growing the company a lot, and both bringing in new talent as well as continuing to reward our existing talent. And I started to notice for a company that I think we in general try to stay very apolitical. Even then there were still small things that indicated that maybe the policies weren't very clear for how we think about diversity, how we think about the kinds of people we hire, how we think about making these decisions on the margins. And in that lack of clarity, I think a lot of people in the company kind of felt frustrated. And there were oftentimes conversations when I would talk to people who are sort of hiring managers or recruiters or whatnot, where there would be some frustration around not really knowing what the company was focused on.

To me, this felt kind of crazy because I think just like any company, we just need to be focused on hiring the best possible people. And so MEI really was my take on and our take on diversity without the wokeness, so how we care about having a diverse workforce, but we also don't want to confuse that with, we always want to hire the best

person for every possible job, and we want to hire excellent people, and we want to make sure we're focused on hiring excellent people. If we do that, then diversity will come in tow because it turns out there's all sorts of people who are just incredible at things. YC I think is a testament to this. The group of YC founders is incredibly diverse, and we thought that if we just focus on hiring, if we focus on meritocracy, really, hiring the best possible people who are brilliant, excellent, intelligent, then diversity will fall out as an outcome of that.

And so that was kind of the reframe, which is instead of being an organization that is focused on diversity as the top level goal, being focused on meritocracy as the top level goal, and then understanding that if you do that correctly, then diversity will come as a result of that. That was the basic idea. I think that the reason that we published it and the reason that we wanted to be focused on it was that we also thought that there were a lot of people in the tech world who wanted to join companies with a clear stance on this issue. I think that whether it was engineers or product people or whomever in the tech ecosystem, I think that in a lot of these issues, clarity actually is a huge benefit to building the right team. And we found this in practice after we put it out there.

Sure, there were a lot of people on the internet in general who said, "This is crazy, this is awful, this is bad." But there were a lot of very incredible people who said, "This is the kind of company I want to join." This demonstrates that this company has the culture that would appreciate me, that I think that I would appreciate, and this is actually a huge attractor for me to join scale. And so that was really the goal. It ended up becoming, I mean, frankly, it got really quite viral, as some people call it. It really spread around, and I think in certain places it got over politicized or it got misconstrued in various forums on both.

Jessica: Perhaps on Twitter or in the press?

Alexandr: Yeah. If I knew then what I know now, I would've been able to probably, we would've thought about it a bit differently, but it did get picked up and misconstrued in a variety of somewhat crazy ways. But the core idea, I think is incredibly sound, which is, and we still live by it, which is we want to focus on hiring the best possible talent, and that's our north star. Our north star is meritocracy, excellence, and intelligence. And if we do that right, we have a lot of great things that come out of it.

Jessica: Well, I remember you were just coming into town in 2014, Alex, but I remember specifically, and Carolynn, you probably do too. When GitHub removed their rug, that was like the Oval Office rug that said the United Meritocracy of GitHub. Do you remember?

Carolynnn: I don't remember that.

Jessica: Oh my gosh.

Carolynnn: No, I don't.

Jessica: It was a really big deal. Because you were no longer allowed to refer to startups as a meritocracy. And I remember thinking, gosh, I'm a woman in this business. And yeah, I've faced some hardships as a result of that, but overall, you, it's very, startups are meritocracy. Your users are going to pay you whatever. They don't care who the founder is. They're going to pay you for a product that's good. And if you make something people want, it should do well. So I definitely remember that time. So I was really pleased, Alex, to see your MEI post, and I thought, it seems sensible to me.

Carolynnn: I was just thinking you've been CEO of this company since you were 19 years old.

Alexandr: Yeah.

Carolynnn: Is that right?

Alexandr: Yeah.

Carolynnn: You mentioned over a thousand employees, and has that been one of those things where it's been a slow, steady up ramp? That's a word. Or is it more like you're mentioning these waves of different kinds of AI things? Did you do tons of hiring when those happened? And I guess my larger question is, that's a lot for a young CEO. You've probably been through a lot.

Alexandr: Yes, yes, for sure. For the most part, we grew quite steadily. Initially we grew steadily because it was actually just hard to recruit people. It was hard to convince people to join a startup, and then we would've loved to have hired more quickly, but it was hard to get great people. And then many companies during the pandemic from 2020, 2021, we hired a ton. And we maybe went from 150 to 700 people in that timeframe.

Carolynnn: Oh wow.

Jessica: Oh wow. That's a big jump.

Alexandr: Big jump, big jump. And I learned a lesson at that point, which is that it's very, very hard to maintain culture and maintain all of the sort of unsaid things that make a company work if you grow headcount that quickly. And that's actually really informed the past few years for us at Scale, which is from late '22 to now, we've maybe grown from, we were 700 people, now we're about a thousand. We haven't grown our headcount very much, but the business has more than quadrupled in that timeframe. And I think that's been one of the key lessons. And I think Brian Chesky is kind of the OG, I think of this core insight, but it's more important that you slowly grow the company at the right rate and bring on people who are amazing. You have the right processes to onboard them, and you sort of maintain all of the structure within the company that makes it successful then to just flood the system with tons of people.

Carolynnn: Did you guys hire remote and allow remote workers?

Alexandr: We did hire remote, and then that was another policy that we changed. So we moved to remote, we allowed a lot of remote work and then we moved back. And so we have a few hubs and the vast majority of people are hired into those hubs and come into the office. And then in terms of, I think the challenges as a young founder with a growing organization, I mean, I think that I often tell my friends now that I kind of feel like I'm in my mid to late 30s.

Carolynnn: You've lived a couple lifetimes, is that what you mean?

Alexandr: Yeah, and I mean I moved to Silicon Valley to work when I was 17. Most people do that when they're 22, around that timeframe. And then I think I've been able to learn a lot. I'm very grateful to how much I've been able to learn in building Scale.

Jessica: I have a question that's related to this. I read somewhere that you said when you were working at such a young age in Silicon Valley, you sort of felt maybe a little isolated because you couldn't exactly connect with your co-workers who were married and had kids. So you spent time with Stanford students, you couldn't exactly connect with them because you weren't in college. I'm wondering if now, do you ever feel isolated that you're now the youngest self-made billionaire? I saw that in the news. Do you feel at all isolated now or do you feel like, Hey, I have my peers and my people and I feel connected with people now?

Alexandr: Yeah, I think one of the great joys of building a team and building a company are all of your teammates, and all the people you get to build with. And so we work really hard together. We do hard things all together as a team. And so I've been very lucky. Scale's also a place where a lot of our team members have been at the company, they left, and then a lot of them come back. And so it's one of these, I think, tight communities. I think Apple's another company where something happens where people leave and they come back, partially, I think because we have a unique culture and we do things in an interesting way. And so I think all the people I've worked with I'm very grateful towards. And then, yeah, I think I don't feel quite as isolated now as I did. Also when you're 17, I think in general you just sort of have a predisposition to feel isolated.

Jessica: Now I have to admit. So I was talking to Paul this afternoon and I said, "I'm talking to Alex. What might be an interesting question?" So he did sort of lead me with a few technical questions that I'm going to ask. I just have to remind you though, I don't know if you remember this. When you first met Paul, because he had retired by the time you applied to YC, Paul said that when he first talked to you, it was for over an hour. It might've been at our house actually, and he found you so fascinating that you guys booked more time to talk because it was such a fascinating conversation. Do you remember that?

Alexandr: I do, yeah. I got a lot out of that conversation. I mean, I'm trying to remember the exact timeframe, but I want to say it was the fall of '22. It was before ChatGBT, but it was in, we were talking about all of the nuances of how AI could play out and taking all of these incredible analogies throughout the history of technology. It was an incredible conversation.

Jessica: So here's one of his questions, and this is only if you can answer it. Are there kinds of data that are really hard for software to label and also what would be the hardest data to generate?

Alexandr: So there's kind of two different answers. So one is where is data going? And the data ecosystem is moving more and more towards agents. So just like the entire AI industry is moving from chatbots to agents, from talking to doing, the same thing is happening for data. So one of the major trends, the biggest trends is really getting lots and lots of data for agents, which ends up looking a lot like how should in humans, when you go about and you're doing tasks and you're doing things, you have a thought process and then maybe you go collect some information and then you think a bit more, and then eventually you take the action. So for example, if you're going to book a flight, you're going to first check out what the options are, and then you're going to figure out what your constraints are and figure out, oh, can I leave at that time? You'll check your calendar and they'll also figure out, Hey, what are all the constraints?

You keep gathering information and then you ultimately book the flight. That kind of chain of thought and that kind of chain of activity doesn't exist anywhere right now. None of this data is really captured of the entire thought process and actions that people take over the course of doing these tasks. Even something as simple as booking a flight, but also obviously more complex, things like reviewing a contract or building a software feature or making an important product decision. None of this data is out there. And so a huge trend for us or a huge thing that we're focused on is how do we actually go out and build the mechanisms to generate a lot of this data, which is a combination of how do you capture a lot of this data from just the things that people are naturally doing, as well as how do you build software systems that are able to generate this kind of data? So that's where data is going towards more and more data about people doing things and what their thought processes are when doing things. We kind of refer to this all as agent data.

And then I think the answer in terms of what is going to be hard for machines to do on their own in general, I think that I definitely foresee a very long path of human AI symbiosis. And AI are going to always make some kinds of mistakes or some kinds of weird mistakes, and we're always going to need to keep an eye on how AI functions long-term. And so it's really like humans aiding the machines and getting unstuck, and whenever the models are going down the wrong path or they're hallucinating or there's something that they're getting stuck on, or they have to make some change in the real world or something, that's where humans will have to get involved.

Jessica: He also said, "I bet someone like Alex has found some amazingly clever things to do in terms of labeling data. Does he have anything he can talk about?"

Alexandr: Yes. Well, I think that the biggest thing that we've worked on is exactly this human AI symbiosis. So on the human side, what we're really focused on is how do we get the most brilliant experts in every field? So how do we get truly the best programmers and lawyers and doctors and physicists and mathematicians and computer scientists across every field to help contribute data for these AI systems? And then how do you automate as much of that process because these people are busy, their time is very valuable. How

do you make sure that everything they're doing is as efficient as possible? And so I would say that there's nothing particularly clever per se, but I do think the thing that we see in the overall AI ecosystem is how do we leverage this community of the best and brightest in the world, and then give them the opportunity to help influence and leverage and really shape these incredible AI models? And that's one of the things that we're really focused on.

Carolynnn: It's funny that we brought up the Colossians because you definitely give a Colossian vibe, and I was sitting here wondering, I think I already know the answer to this, but is Scale your life's work? Or maybe another way to phrase that is, do you think about life after Scale?

Alexandr: Yeah, I don't. Actually, this is one of the things that Paul and I talked about the first time we met where he said, "The best way that you're going to outcompete everyone over time is if your company is your life's work." And yeah, no, I think it's true. I mean, I think that one of the things that I feel incredibly fortunate and frankly just kind of lucky is that I picked this problem. We focused on data for AI and we've been focused on it for this whole time.

And then we've helped really enable through our partners like OpenAI or Meta or other companies, enable one of the most exciting technical journeys, frankly, of human history. And we see a continued role in helping lay the foundations and continuing to ensure that this industry can flourish. And so I feel very, very lucky that Scale, what started out as an idea that we threw out the original idea because we thought it wouldn't be a consequential enough company, has it ended up being something that myself and the entire scale team are very proud of as being quite central to the AI industry and everything that's going to happen over the next few years.

Jessica: It's hugely central to the AI industry. It's a different business than making AI, but it's hugely important to that. They couldn't do it without you.

Alexandr: We usually talk internally that Scale and Nvidia are the behind the scenes folks that help hold everything up in the industry and enable our partners like OpenAI or Meta or Microsoft or others to really shine and succeed and be sort of like these superstars.

Jessica: Yeah, that's true.

Carolynnn: I just have two random questions for you. I know you probably have to go soon, but can we just please once again go back to the early days of ChatGBT? I want you to describe to me, I feel like we didn't capture how exciting and interesting that was to you personally. What were you thinking back then when all of that happened? It was this explosion.

Alexandr: Yeah, so I remember, I think it was in 2020 when GPT-3 first came out and I was showing a friend of mine, GPT-3, it was an interesting moment because I think for some people, GPT-3 was, that was really the start of this whole thing was, "Oh my God, GBT-3 is so incredible. This is really prime time. And then for others it was like, okay, this is still a toy.

This is nothing serious yet. And I remember I showed one of my friends and he was sort of chatting with it and it wasn't very good at chatting at the time, but he was sort of chatting with it and he got really angry at the AI because it was not really listening to him, and it was sort of teasing him a little bit. And that was a very clear moment in my memory where it's like, oh wow, this technology, this is going to be a really big deal pretty soon, because the fact that it could elicit, just in talking to this person, it could elicit that strong emotion was a real indicator.

But think about it, that was 2020, it was two years before ChatGPT, and so I had always felt like, hey, clearly we're onto something that's going to result in stuff, but I didn't know how quickly it was going to come. And then when ChatGPT came out, it was kind of an interesting thing from within the industry. ChatGPT felt a little bit better than what had come before it, but there were reasonable chatbots that had come before that. But I think the OpenAI team really, they did such a good job with that because they got it to the point where all of a sudden it was interesting to everybody in the world. It wasn't just interesting to people in the AI world. And I started seeing this, all these random people in my life were trying ChatGPT and were talking about it, and that's when I knew it was like, oh, wow. AI's crossed over to being a, instead of just being this really interesting, more niche technology, it'll be the major thing.

I remember I spoke at a conference early 2022, I want to say, and I remember I told the organizer, I was like, I literally said, "Oh, I don't know if everybody wants to hear about AI yet again, I feel like maybe everybody's heard enough about AI and we should focus on other topics." It's so funny in retrospect because over the past two years, AI's all anyone's talked about.

Carolynnn: That's true.

Alexandr: But yeah, no, and then I think in the moment when all of a sudden GPT became the fastest growing product ever, and everybody was focused on it and enterprise CEOs were asking, "What are we going to do about AI?" The government held all sorts of crazy meetings about what we were going to do with AI, and it sort of became this very notable global phenomenon. I think the main feeling I had was like, we got to buckle up. We have so much work to prepare the ground for the industry and we have to put our heads down and really go after it.

And so even now, I think it's rare for us many people to even take a step back and realize everything that's happened, but I mean the numbers are staggering. I mean, in no world would I have predicted that in 2024, something like 200-plus billion dollars of investment are going into building advanced powerful AI systems. That's a third of the US defense budget.

Carolynnn: Wow. Crazy.

Alexandr: It's absolutely staggering how much this has become one of the central focuses of the world. And I tell everybody on the team this, I frankly don't think in my lifetime I'm going to witness another, have this amazing opportunity where we were working on a

technology for so long, we were helping power for so long, and then all of a sudden it became the most important thing in the world. That just doesn't happen.

Jessica: I know. I feel like you should write a book someday about this and your experiences.

Alexandr: Yeah, it's been especially interesting as of late because I think the AI industry, people in the AI industry are very passionate. And there's so many different camps. AI is kind of a Rorschach test in the sense that different people see such different things out of it. I mean, some people see it as the major element of US competition versus other countries, people who are very geopolitically focused. Other people see it as the next atomic bomb. Other people see it as the next internet or the next computer that'll enable all of this growth and all this economic activity. And so it's almost impossible to have a clear, reasonable conversation about AI with large groups of people because everybody just sees something so different out of the technology. And the technology is moving so quickly that it honestly could become any of the above. It's been extremely fascinating to have the opportunity to be a part of it.

Jessica: Awesome. Yeah, it's just incredible. Thank you so much for coming on today and sharing all of your insights. I feel like I've learned a lot just from talking to you, so I appreciate that and I hope I get to see you maybe this summer when we're back in the Bay Area in person.

Alexandr: Yeah, I would love to.

Jessica: All right, well, Alex, thanks again. This is going to be a great episode and I'm so glad we've finally done a proper AI company because I think our audience is definitely going to be very interested in this stuff. So thanks again.

Alexandr: Yeah, thanks for having me.

Carolynnn: It was great to talk to you, Alex.

Jessica: Bye.

Carolynnn: Bye.

Alexandr: Bye.

Jessica: Carolynn, that was such an interesting conversation with Alex.

Carolynnn: Yeah, I know. I feel like there's probably a thousand super smart questions we could have asked about what Scale does and how they do it and what they're going to do next, but man, it's kind of overwhelming.

Jessica: Are we really going to be the ones asking the most? No, we're not. I don't mean to rag on us, but it is this sort of labeling and cleaning data and then generating data. It's such a

big component for scaling AI companies and anyone that wants to have AI in their company has to have access to really good high quality data.

Carolynnn: I love that he put Scale and NVIDIA together because pretty much everybody knows and understands the role of NVIDIA in this whole AI boom. And so for him to say, "Yeah, it's us. We're even less, not quite as well known, but just as important, just as huge." That to me, that was a great comment he made about that.

Jessica: I feel like Scale AI is going to be the biggest Y Combinator company that the mainstream has never heard of.

Carolynnn: Never heard of, right.

Jessica: I really think, I'm just going to throw it down there now.

Carolynnn: I think that might be right and yeah, sort of the under-the-radar, but absolutely killing it.

Jessica: Killing it, and he just seems like such a great leader, so smart.

Carolynnn: For such a young founder.

Jessica: Yeah, I guess that's what I thought was so striking is he's growing this huge company and so often, well, not on this podcast necessarily, but just in my life at YC, I see we know all of this dirty laundry about people and all this, well, not dirty laundry. It's more like struggles that founder leaders have, and he just seems like maybe he doesn't talk about them, but he's either just totally managed them or he doesn't have them because of his style and the culture he's created. That's amazing.

Carolynnn: That is amazing. I know, I'm just struck by our conversation. And I think I have to go back, I have to add an addendum to my interview notes with him from 2016 where I said, maybe arrogant or brilliant. I'm just going to put down that he's brilliant.

Jessica: Yeah. Yeah. I don't think there's any arrogant vibe. I mean, this is a very, very long time ago. In your defense.

Carolynnn: It might have been.

Jessica: And it was only based on a ten-minute conversation.

Carolynnn: 10 minute conversation. Right.

Jessica: But I'm going to say he's brilliant.

Carolynnn: Just brilliant yeah, and very down-to-earth, and very chill.

Jessica: I can't wait to see what is next with Scale, and I think this is going to be a great episode. I can't wait.

Carolynnn: Yeah, it's great to talk to him.

Jessica: All right, well Carolyn, I will catch you on the next one.

Carolynnn: Okay, see you later. Bye.

Jessica: Bye.